3.5.2 Contribution and break-even output

Unit 3.5 Financial management · 6 key points

- **Contribution per unit:** selling price − variable cost per unit
- **Total contribution:** total revenue − total variable costs
- **Break-even output:** fixed costs ÷ contribution per unit
- **Profit:** total contribution − fixed costs
- **Trap:** contribution is not profit until fixed costs are covered
- **Trap:** a rise in fixed costs raises break-even output but does not change contribution per unit